

25PR00112 Estate of Stephen James Mitchell

County: santa-barbara

Division: Decedent's Estate

Hearing date: 2026-07-22

Motion: Petition for Final Distribution

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Tentative Ruling: Estate of Stephen James Mitchell

Case Number

25PR00112

Case Type

Decedent's Estate

Hearing Date / Time

Wed, 07/22/2026 - 09:30

Nature of Proceedings

Petition for Final Distribution

Tentative Ruling

Probate Notes:

The following must be submitted:

Supplement re: Escrow Statement. Real property was sold, but no Escrow Statement is on file. The escrow statement is a requisite filing to satisfy the final report requirements of the Probate Code (Prob. Code, § 10954(c)(1)), and the California Rules of Court (Rule 7.550):

Allegations of all actions taken under IAEA, including:

sales, purchases, or exchanges of assets (CRC, Rule 7.550(b)(2))

changes in the form of assets (CRC, Rule 7.550(b)(3))

assets on hand (CRC, Rule 7.550(b)(4))

a list of costs of administration, IF reimbursement of administration costs is requested (CRC, Rule 7.550(b)(7))

a list of the amount of any fees or commissions paid or to be paid (CRC, Rule 7.550(b)(8)), and the calculation of such fees or commissions as described in CRC, Rule 7.705(b) (CRC, Rule 7.550(b)(9))

The requirements of Rule 7.550(b) mandate an escrow statement for any sale of real property must be submitted in support of the final report.

High Reserve. Petitioner requests \$1,045.58 for a reserve amount. This amount creates a presumption that the estate is not in a condition to be closed, which must be overcome by evidence showing the reserve is justified and need not delay distribution of the estate. The following is from a well-respected treatise on this issue:

Although not required, it is advisable to include an estimate of closing expenses. Examples of estimated closing expenses include any estate taxes, interest, and penalties that will be paid after distribution; the cost of preparing final income tax returns for the estate; the cost of transferring securities to the distributees; the cost of reasonable storage, delivery, and shipping for distribution of tangible personal property to the distributees; and the cost of certifying and recording copies of the decree of distribution of real property. See Prob C §§11642, 11750, 11753–11754. Some courts require more detailed information about the nature and amount of the anticipated closing expenses. See, e.g., San Francisco Ct R 14.35(l)(3).

The personal representative may also wish to retain funds for any undisclosed or unknown liabilities, especially tax deficiencies later assessed against the decedent or the estate. Apart from the reserve for estate taxes, there are some drawbacks to setting the reserve aside specifically for possible future tax deficiencies. Such action indicates—especially if the reserve is a substantial one—misgivings about the validity of the estate's position. The reserve might also be considered a trust fund for payment of the taxes, thus extending the statutory period for assessment. See *U.S. v Rose* (3d Cir 1965) 346 F2d 985, 989.

In addition, if the personal representative requests that the court allow for a substantial reserve (or even a reserve of more than \$5,000), some courts will refuse to characterize the distribution as "final" and will require additional accounts (or waivers) before permitting distribution of any balance of the reserve. For example, in Contra Costa County, the court will not characterize the distribution as final if the personal representative requests more than a nominal reserve. If the entire estate will be distributed to a single beneficiary, such as a trust established during the decedent's lifetime, a reserve may not be necessary.

(Cal. Dec. Est. Pract. (CEB 2023), §31.66.)

Accordingly, if the probable tax liability of the estate is so high as to require the requested amount in reserve, it is recommended the Court deem this estate not to be in a condition to be closed. At the very least, the Court should require a final accounting and petition for distribution be set a reasonable time after the last year's tax liability is due.

Proposed Order. A proposed order must be submitted with relief that matches that requested in the petition. (Local Rule 1724(b), subd.(d).) Order must list every beneficiary and detail the shares to each, and must expressly state limitations or conditions on distribution. (Prob. Code, § 11603.) IF whereabouts of a distributee are unknown, the Proposed Order must provide for alternate distributees, and detail the share to which they are entitled per PC § 11603(c). It is highly recommended

petitioner use Local Form SC-6029. No such document was filed with the court.

If the documents curing these deficiencies are not processed by 8:00 a.m. on July 20, 2026, it is recommended that the matter be continued to a date to be set by the Court at the hearing, unless the party appears and requests a different date, or submits a request for a different continuance date prior to the hearing. (Local Rule 1721(c)(2)(A-B).) If the matter is continued, documents must be submitted at least 10 days prior to the new hearing date to be considered.

Due to staffing limitations, processing times may be delayed. To assist in processing, attorneys and parties should include the next court date in the "Filing Description" field provided by the electronic service provider. That field is also used for further descriptions of the document being e-filed, so be sure to put the calendar date FIRST in the field – BEFORE any further description of the document being e-filed (e.g.: 06/28/16 For XYZ).

Judges

Judge Denise M. Hippach

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